

**SUPERIOR COURT OF CALIFORNIA  
COUNTY OF MARIN**

DATE: 09/18/26      TIME: 1:30 P.M.      DEPT: L      CASE NO: CV0010410

PRESIDING: HON. MARK A. TALAMANTES

REPORTER:

CLERK: M. GIL

---

PLAINTIFF:      YUKTI MEHTA

vs.

DEFENDANT: RESTORATION  
HARDWARE INC.

---

NATURE OF PROCEEDINGS: MOTION – COMPEL ARBITRATION

**RULING**

Defendant Restoration Hardware, Inc.’s motion to compel arbitration is DENIED. Plaintiff plausibly alleges a sex-based hostile work environment constituting a ‘sexual harassment dispute’ under 9 U.S.C. § 402 (EFAA). Under controlling authority, the EFAA renders the pre-dispute arbitration agreement unenforceable as to the case motion to compel arbitration is denied.

**I. The Arbitration Agreement**

Defendant submits a copy of an Arbitration Agreement (the “Agreement”) signed by Plaintiff when she began working at RH Marin. The Agreement provides in part:

*This Mutual Agreement to Binding Arbitration of Claims (“Arbitration Agreement”) is entered into by and between Employee, as identified below, and RH US, LLC (“the Company”) (each, a “Party”, and collectively, the “Parties”) as of the date set forth below. Employee and Company recognize that differences may arise between them arising out of Employee’s employment with the Company. The Parties understand and agree that by entering into this Arbitration Agreement, each of them gains the benefits of a speedy, impartial, final, and binding dispute resolution procedure.*

*Claims Covered By This Arbitration Agreement.* *Employee and the Company agree to arbitrate any claim, dispute, and/or controversy that either Employee may have against the Company (or its owners, directors, officers, managers, employees, agents, and parties affiliated with its employee benefit and health plans), or the Company may have against Employee, arising from, related to, or having any relationship or connection whatsoever with Employee’s seeking employment, Employee’s employment, or Employee’s other association with the Company. Included within the scope of this*

*Arbitration Agreement are all disputes, whether based on tort, contract, statute (including, but not limited to, any claims of discrimination and harassment, whether they be based on the California Fair Employment and Housing Act, Title VII of the Civil Rights Act of 1964, as amended, or any other state or federal law or regulation), equitable law, or otherwise.*

*Both Employee and the Company waive any right to pursue claims in arbitration (or in court or any other forum) on a class basis or as a collective action. This waiver does not apply to Employee's right to bring a representative action in court (but not in arbitration) under the California Labor Code Private Attorneys General Act of 2004 or other similar laws which permit employees to bring a representative action to recover civil penalties and other relief that are otherwise only recoverable by the State of California acting through any of its departments, divisions, commissions, boards, agencies or employees.*

(Declaration of Emmanuelle Tobola, Exh. A.)

## **II. Request for Judicial Notice**

Defendant's request for judicial notice of the Order Granting Defendant's Motion to Compel Arbitration, dated July 18, 2025, in *Hector Torres v. Restoration Hardware Holdings, Inc.*, Marin County Superior Court, Case No. CV0005457 (Exhibit A) and the Minute Order Granting Defendant's Motion to Compel Arbitration, dated November 5, 2024, in *Duvan Trujillo v. Restoration Hardware Holdings, Inc.*, Los Angeles County Superior Court, Case No. 24STCV15341 (Exhibit B) is granted. (Evid. Code §§ 42, 453.)

## **III. Discussion**

Plaintiff does not dispute that she signed the Agreement. She opposes the motion, however, on the ground that the Ending Forced Arbitration Act ("EFAA") applies and thus she cannot be compelled to arbitrate any of her claims.

Section 402 of the FAA, known as the EFAA, provides:

**(a) In general.**--Notwithstanding any other provision of this title, at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute . . . no predispute arbitration agreement or predispute joint-action waiver shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute.

**(b) Determination of applicability.**--An issue as to whether this chapter applies with respect to a dispute shall be determined under Federal law. The applicability of this chapter to an agreement to arbitrate and the validity and enforceability of an agreement to which this chapter applies shall be determined by a court, rather than an arbitrator, irrespective of whether the party resisting arbitration challenges the arbitration agreement specifically or in conjunction with other terms of the contract containing such

*agreement, and irrespective of whether the agreement purports to delegate such determinations to an arbitrator.*

(9 U.S.C. § 402.) “[T]he exemption applies to the *case*, not individual claims, where a plaintiff alleges conduct constituting sexual harassment or sexual assault . . . the EFAA renders an arbitration agreement unenforceable as to the *entire case*, not merely the sexual harassment claim.” (*Quilala v. Securitas Security Services USA, Inc.* (2025) 117 Cal.App.5<sup>th</sup> 75, 86-87 [emphasis in original].)

Defendant argues that the EFAA does not apply because Plaintiff alleges gender harassment, not sexual harassment, and Section 12940(j)(4)(C) acknowledges that the two are different categories. Specifically, Government Code Section 12940(j)(1) provides that it is unlawful for an employer to harass an employee because of, among other things, sex or gender. Section 12940(j)(4)(C) provides that “harassment” because of sex includes sexual harassment, gender harassment, and harassment based on pregnancy, childbirth, or related medical conditions. Sexually harassing conduct need not be motivated by sexual desire.”

Section 12940(j)(4)(C) is somewhat confusing, as it refers both to “sexual harassment” and “harassment based on sex” as two different things, but then states that “harassment based on sex” includes “sexual harassment”. It is unclear if all “harassment based on sex” would constitute “sexual harassment” for purposes of the EFAA exemption, which uses only the term “sexual harassment” dispute and not “harassment based on sex.” Regardless of how Plaintiff’s claims are labelled, however, the Court will focus on the substance of her factual allegations to determine if Plaintiff asserts a “sexual harassment” dispute.

When determining whether the EFAA applies, the court first determines whether the plaintiff’s allegations state a plausible claim of sexual harassment, bringing the dispute within the scope of the EFAA. (*Quilala*, 117 Cal.App.5<sup>th</sup> 75 at pp. 86-87.) “A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged. [Citation.] The plausibility standard is not akin to a ‘probability requirement,’ but it asks for more than a sheer possibility that a defendant has acted unlawfully.” (*Ashcroft v. Iqbal* (2009) 556 U.S. 662, 678.) In *Quilala*, the court found that the plaintiff stated a plausible sexual harassment claim because he alleged facts showing his supervisors and coworkers subjected him to “repeated and humiliating conduct” because of his perceived sexual orientation. As a result, the plaintiff’s allegations brought the dispute within the scope of the EFAA. (*Quilala*, 117 Cal.App.5<sup>th</sup> 75 at pp. 86-87.) In *Decloedt v. Radnet Management, Inc.* (2026) 121 Cal.App.5<sup>th</sup> 732, the court first noted that sexual orientation harassment is a form of sexual harassment under FEHA. Applying a standard of evaluating the plausibility of plaintiff’s claim similar to Rule 12(b)(6), the court found that the plaintiff stated a plausible sexual harassment claim where he alleged that his coworker repeatedly chastised him for his homosexuality, frequently expressed anger stating she was so angry she could kill him, pulled his hair several times, and grabbed his hair once so forcefully that he fled to the restroom to escape her, and that the coworker engaged in this abusive conduct because she disapproved of the plaintiff’s sexual orientation. (*Id.* at pp. 745-746.) As a result, the EFAA’s exemption to the

FAA applied and the trial court properly denied the defendant's motion to compel arbitration. (*Id.* at p. 748.)<sup>1</sup>

Under the above authorities, the first step is to determine whether Plaintiff has alleged a plausible sexual harassment dispute. “[T]o establish liability in a FEHA hostile work environment sexual harassment case, a plaintiff employee must show she was subjected to sexual advances, conduct, or comments that were *severe enough or sufficiently pervasive to alter the conditions of her employment and create a hostile or abusive work environment*. Although annoying or ‘merely offensive’ comments in the workplace are not actionable, conduct that is severe or pervasive enough to create an objectively hostile or abusive work environment is unlawful, even if it does not cause psychological injury to the plaintiff.” (*Lyle v. Warner Brothers Television Productions* (2006) 38 Cal.4th 264, 283 [citations omitted] [emphasis in original].) “[T]he prohibition against sexual harassment includes protection from a broad range of conduct, [including] the creation of a work environment that is hostile or abusive on the basis of sex. [A] plaintiff in a sexual harassment suit must show the conduct at issue was not merely tinged with offensive sexual connotations but actually constituted discrimina[tion] . . . because of . . . sex.

To plead a cause of action for ... sexual harassment, it is only necessary to show that gender is a substantial factor in the discrimination, and that if the plaintiff had been a man [or a woman, he or] she would not have been treated in the same manner. Accordingly, it is the disparate treatment of an employee on the basis of sex - not the mere discussion of sex or use of vulgar language - that is the essence of a sexual harassment claim.” (*Kruitbosch v. Bakersfield Recovery Services, Inc.* (2025) 114 Cal.App.5th 200, 211 [citations and internal quotations omitted].) “[A] plaintiff may establish a hostile work environment without demonstrating the existence of coercive sexual conduct directed at the plaintiff or even conduct of a sexual nature.” (*Decloedt*, 121 Cal.App.5th at p. 744 [citations and internal quotations omitted].)

Generally, common management duties such as hiring, firing, office or workstation assignments, or deciding who will be laid off, do not constitute harassment. (See *Reno v. Baird* (1998) 18 Cal. 4th 640, 647.) However, “some official employment actions done in furtherance of a supervisor’s managerial role can also have a secondary effect of communicating a hostile message . . . when the actions establish a widespread pattern of bias.” (*Roby v. McKesson Corp.* (2009) 47 Cal. 4th 686, 705–709.)

Plaintiff makes the following allegations to support her sexual harassment claim: (1) Kefalos commented to Plaintiff that she had been pregnant when they worked together previously (§13), (2) Kefalos repeatedly made harassing remarks to Plaintiff and her female colleagues, including statements to the effect of “having a family will hold you back from moving up,” and that “pregnant women or women with families don’t get ahead in this industry” (§15), (3) Kefalos treated female employees, particularly those with children or who were pregnant, more harshly;

---

<sup>1</sup> Some federal courts have, like *Decloedt*, applied a Rule 12(b)(6) plausibility analysis in determining whether a plaintiff’s allegations are sufficient to invoke the EFAA in the first place. (See *SU AI v. Tencent America LLC*, No. 26-cv-02498-NW, 2026 WL 2170875 (N.D. Cal. July 28, 2026).) Without a plausibility or similar preliminary analysis, a plaintiff could simply allege sexual harassment, regardless of merit, to avoid arbitration. (See *Liu v. Miniso Depot CA, Inc.* (2024) 105 Cal.App.5th 791 n. 2.)

one female colleague was sent home after clocking in late while a male colleague who arrived late was excused without consequence (§17), (4) Kefalos frequently took Plaintiff off her scheduled shifts or sent her home early, claiming the restaurant was slow even when other employees were permitted to work (§19), (5) Kefalos regularly brushed Plaintiff off, refused to engage, or walked away mid-conversation (§20), (6) Kefalos accused Plaintiff of being condescending when she asked him a question about a change to the POS system (§21), (7) Kefalos reassigned Plaintiff's tables one day, falsely claiming Plaintiff failed to greet a guest, and then sent her home early (§22), (8) RH Marin's HR department did not take action when Plaintiff complained (§26), (9) Plaintiff was told not to return to work until further notice and then received a write up when she returned, which involved purported incidents with customers (§28), and (10) Kefalos accused Plaintiff of using too loud a voice to a guest and criticized Plaintiff for telling a RH Marin manager to come back after they were talking (§32).

The Court finds these allegations to be sufficient to state a plausible sexual harassment claim.

There are sufficient allegations that sex was a substantial factor in Defendant's alleged discriminatory conduct against Plaintiff. Plaintiff's allegations focus on her pregnancy and pregnancy harassment is a form of sexual harassment. In *Holmes v. Petrovich Development Co., LLC* (2011) 191 Cal.App.4<sup>th</sup> 1047, the plaintiff alleged that she was harassed after she told her employer that she was pregnant. The court ultimately found that the trial court did not err in granting the employer's motion for summary adjudication of the sexual harassment claim because there was an absence of evidence that the employer created a hostile work environment for a reasonable pregnant woman, as there was no severe misconduct or pervasive pattern of harassment. (*Id.* at pp. 1061.) In reaching its decision, the *Holmes* court implicitly recognized pregnancy harassment as a form of sexual harassment. In *Reddy v. Genpact LLC*, No. 2:25-cv-02138-DAD-JDP, 2026 WL 2529764 (E.D. Cal. Aug. 27, 2026), a federal district court found the EFAA applied (and thus a sexual harassment dispute was plausibly alleged) where the plaintiff alleged that the defendant's actions communicated a widespread, demeaning message to the plaintiff that pregnant female employees were not wanted in the defendant's workplace. (*Id.* at p. \*3.)

To avoid this result, Defendant cites a Los Angeles Superior Court decision in its Reply (*Thomas*); however Defendant does not attach the case nor request that the Court take judicial notice of it. This reference is not considered.

Defendant also cites a federal district court case out of New York, *Singh v. Meetup LLC*, 750 F.Supp.3d 250 (S.D.N.Y. 2024), which is inapposite because it applied New York employment law and involved different factual allegations. Moreover, in *Ding v. Structure Therapeutics, Inc.*, 765 F.Supp.3d 897 (N.D. Cal. 2025), a federal district court in the Northern District of California declined to follow *Singh*, stating that New York law "says sexual harassment is conduct involving treating the plaintiff less well than the other employees based on her gender". (*Id.* at p. 902.) The *Ding* district court decision was affirmed by the Ninth Circuit in *Ding v. Structural Therapeutics, Inc. NASDAQ*, -- F.4<sup>th</sup> --, 2026 WL 2420555 (9<sup>th</sup> Cir. Aug. 19, 2026). In *Ding*, the Ninth Circuit confirmed that a "sex-based hostile work environment claim amounts to sexual harassment under California law even when the harassing conduct is not sexual in nature". (*Id.* at \*6.) The court found that the plaintiff had alleged a plausible sexual harassment

claim where she alleged that her employer's CEO wanted to hire a man for the CFO position, hired the plaintiff due to the board's emphasis on gender diversity, immediately began sidelining the plaintiff and diminishing her job responsibilities, adopted sexist and unsupported criticisms that the plaintiff was too aggressive, made light of the facial injuries that the plaintiff suffered from a domestic violence incident while repeatedly questioning the plaintiff's ability to continue her CFO job after that incident and preventing her from attending executive meetings, and terminated the plaintiff raising no performance-related issues but calling out her domestic situation as a factor for the termination. (*Id.* at \*7.) The court concluded that the CEO's "alleged preference for a male CFO, reiteration of sexist remarks, belittling of [the plaintiff's] domestic violence experience, and comment about [the plaintiff's] inability to continue her job all support an inference that his conduct towards [the plaintiff] was plausibly based on her sex. Thus, [the plaintiff] has adequately stated a sex-based hostile work environment claim under the FEHA, which constitutes a 'sexual harassment dispute' covered by the EFAA." (*Ibid.*)

Like the plaintiff in *Ding*, and consistent with the California cases cited above, Plaintiff here has alleged sufficient facts to state a sex-based hostile work environment claim, which constitutes a sexual harassment dispute under EFAA.

The motion to compel arbitration is denied on this basis.

The Court need not address the remaining arguments raised in Plaintiff's Opposition.

***Parties must comply with Marin County Superior Court Local Rule 2.10(A)–(B). A party seeking oral argument must notify the Court at (415) 444-7046 and all opposing parties by 4:00 p.m. on the court day before the hearing. Notice may be provided by telephone or in person; direct contact with counsel or the parties is not required. Absent timely notice to the Court and all parties, no oral argument will be permitted except by order. If no party properly requests oral argument, the tentative ruling becomes the order of the Court..***

***IT IS ORDERED Evidentiary hearings are in person in Department L. Routine appearances may be made by video using the link on the Court's website. When your case is called, turn on your camera and ensure the appearing party or lawyer is properly identified on screen.***

***FURTHER ORDERED Parties are responsible for maintaining a reliable connection and being available throughout the remote hearing. If a party's connection is inadequate, the Court may proceed in that party's absence. Participants determined to be driving during the hearing will be removed from the virtual courtroom. (Yes, this happens).***